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Case Number: 25NWCV04166 Hearing Date: August 11, 2026 Dept: D

LARRY PARSONS, ET
AL. V. FREDY CHINA, ET AL.

CASE NO.: 25NWCV04166

HEARING: 08/07/2026 @
9:30 a.m.

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TENTATIVE ORDER

Defendant Island Legacy
Holdings, Inc.'s unopposed motion to set aside default is GRANTED.

The Court orders the default
entered on January 5, 2026 as to Defendant Island Legacy Holdings, Inc.
VACATED.

Defendant Island Legacy
Holdings, Inc. is ordered to separately file the proposed pleading within 30
days of this ruling.

Moving party to give notice.

Defendant Island Legacy Holdings (Defendant)
moves for an order to set aside the default.

Background

On November 24, 2025, Plaintiffs Larry Parsons and Joy Teng (collectively, Plaintiffs) filed the operative Complaint against Defendants Fredy China, China's General Construction Corp., Island Legacy Holdings, Inc., and Does 1 through 50, inclusive, asserting five causes of action: (1) Negligence; (2) Breach of Contract; (3) Fraud; (4) Unjust Enrichment; and (5) Violation of Business & Professions Code Section 7031.

On December 1, 2025, Plaintiffs served Defendant by personal service.

On January 4, 2026, Plaintiffs requested entry of default. The clerk entered the default the following day on January 5, 2026.

On February 23, 2026, Defendant filed an unopposed motion to set aside the default.

On July 21, 2026, the Court found that Defendant had made a sufficient showing of mistake, surprise, or excusable neglect to warrant discretionary relief under Code of Civil Procedure section 473, subdivision (b). However, the Court also found that the motion was procedurally deficient because Defendant failed to attach a proposed responsive pleading, as required by the statute. Accordingly, the Court continued the hearing to permit Defendant to cure the procedural deficiency and ordered Defendant to file and serve the proposed responsive pleading no later than August 4, 2026.

On August 4, 2026, Defendant filed a supplemental declaration attaching the proposed responsive pleading.

Legal Standard

"The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect…¿ [The application]¿shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken."
(Code Civ. Proc., §¿473, subd. (b).)¿¿¿¿

Although a trial court has discretion to vacate the entry of a default or subsequent judgment, this discretion may be exercised only after the party seeking relief has shown that there is a proper ground for relief, and that the party has raised that ground in a procedurally proper manner, within any applicable time limits.” ¿(Cruz v.¿Fagor¿America, Inc. (2007) 146 Cal.App.4th 488, 495.) “The defendant must … demonstrate a satisfactory excuse for not responding to the original action in a timely manner.” (Id.¿at 504.) Moving parties have the initial burden to prove excusable neglect by a preponderance of competent evidence. (Kendall v. Barker¿(1988) 197 Cal.App.3d 619, 624.)

Analysis

As a preliminary matter, Defendant timely filed a motion to set aside the default on February 23, 2026, less than six months after the Clerk entered Defendant's default on January 5, 2026. (Code Civ. Proc., § 473, subd. (b).) After retaining counsel, Defendant filed an amended motion on June 16, 2026. The Court construes the June 16, 2026 amended motion as the operative motion, which likewise was filed within the six-month period prescribed by Code of Civil Procedure section 473, subdivision (b). However, the Court declines to consider Defendant's Supplemental Memorandum of Points and Authorities, filed on July 9, 2026, because it was not timely filed under the applicable notice requirements.

The Court notes that, although Defendant's operative amended motion did not include a copy of the proposed responsive pleading as required by Code of Civil Procedure section 473, subdivision (b), Defendant subsequently cured this procedural deficiency. As noted above, on August 4, 2026, pursuant to the Court's order, Defendant filed a supplemental declaration attaching the proposed responsive pleading. (Sherron Decl., ¶ 9, Ex. A.) Accordingly, the motion is procedurally sufficient.

Defendant contends that its failure to timely respond to the Complaint resulted from mistake or excusable neglect. (Motion, pp. 3-6; Bellospirito Decl., ¶¶ 2, 5-11.) Specifically, Defendant declares that its authorized agent attempted to defend the action without legal counsel because the corporation lacked sufficient funds to retain an attorney and he was unaware that a corporation could not appear in propria persona. (Bellospirito Decl., ¶¶ 2, 5-9.) Defendant further declares that, after obtaining sufficient funds, it retained counsel, promptly sought relief from the default, and is prepared to file a proposed answer and actively participate in the litigation. (Id., ¶¶ 7-13.)

Although Defendant's showing is minimal, the Court finds that Defendant has sufficiently demonstrated that the default resulted from a mistake concerning the corporation's ability to appear without counsel. Defendant represents that its authorized agent attempted to respond to the Complaint but mistakenly believed he could do so on the corporation's behalf, was unaware that a corporation may appear only through licensed counsel, and retained counsel once sufficient funds became available.

No opposition has been filed, and there is no indication that granting relief will substantially prejudice Plaintiffs. Moreover, California law strongly favors resolving cases on their merits whenever reasonably possible. (Fasuyi v. Permatex, Inc. (2008) 167 Cal.App.4th 681, 695.) Under these circumstances, and in the exercise of its discretion, the Court finds Defendant has made a sufficient showing to warrant relief under Code of Civil Procedure section 473, subdivision (b).

Conclusion

Based on the foregoing, Defendant Island Legacy Holdings, Inc.’s unopposed motion to set aside default is GRANTED.

The Court orders the default entered on January 5, 2026 as to Defendant Island Legacy Holdings, Inc. VACATED.

Defendant Island Legacy Holdings, Inc. is ordered to separately file the proposed pleading within 30 days of this ruling.